

STRATEGIC MANAGEMENT NOTES

INTRODUCTION

Strategy is a term that's derived from **strategos** a Greek word which means **generalship, a plan or course of action or a set of decision rules making a pattern** or creating a common thread.

Strategy can be defined as **a comprehensive master plan detailing how a firm is set to realize its mission and its objectives.**

Strategy is an integrated and coordinated set of commitments and actions designed to exploit core competencies and gain a competitive advantage.

It maximizes competitive advantage and minimizes competitive disadvantage. The typical business firm sets strategy at three levels: corporate, business and functional.

LEVELS OF STRATEGY

Strategy can be formulated and implemented at three different levels:

1. Corporate level
2. Business unit level
3. Functional or departmental level

At the corporate level, you are responsible for creating value through your businesses. You do so by managing your portfolio of businesses, ensuring that your businesses are successful over the long term, developing business units, and sometimes ensuring that each business is compatible with others in your portfolio.

Products and services are developed by business units. The role of the corporation is to manage its business units, products and services so that each is competitive and so that each contributes to corporate purposes.



1. **Corporate level Strategy:** At the corporate level, strategies tend to have the broadest scope. It is at this level, e.g. where the organization's statement of its mission would be accomplished. Determining what business the organization should be in.

Corporate level strategy is concerned with; enterprise-wide business process management; competitive contact; managing activities and business interrelationships; and management practices

2. **Business level Strategy:** Once established, the business level sets strategies related to ensuring that the organization is competing or performing within the areas delineated in the mission. At this level, one can conceptualize the organization in terms of strategic business units or, as they are more commonly known, SBUs.

The notion of SBUs has to do with the grouping of a firm's similar products or services, as well as the number of industries in which the firm competes, and follows closely the organization's diversification.

- 3 **Functional level Strategy:** The functional level relates to the strategies employed in the various functional areas (i.e., human resources, production, marketing, finance, research and development, etc.) of the organization.

Managers must analyze and develop strategies in the context of how they will affect, or be affected by, other functional areas in achieving overall organizational goals and objectives.

Strategic Intent

Strategic intent is a high-level statement of the means by which your organization will achieve its **vision**. It is a statement of design for creating a desirable future (stated in present terms). Simply put, a strategic intent is your company's vision of what it wants to achieve in the long term.

Refers to the purposes the organization strives for. It is the articulation of a simple criterion or characterization of what the company must become to establish and sustain global leadership. Leaders help stakeholders to embrace change by setting a clear vision of where the business strategy needs to take the organization.

Hamel and Prahalad on the one hand, strategic intent evasions a desired leadership position and establishes the criterion the organization will use to chart its progress.....At the same time, strategic intent is more than simply unfettered (unconstrained) ambition. The concept also encompasses an active management process that includes;

- focusing the organization attention on the essence of winning, motivating people by communicating values of the target,
- leaving room for individual and group contributions
- sustaining enthusiasm by providing new operational definition as circumstances change.
- Using strategic intent to consistently guide the allocation of resources.

Defined by Hamel and Prahalad to involve:

- A dream that energizes a company. It has an emotional core.
- Involves a stretch for the organization even if the current resources will not satisfy the aspirations of a vision, it is more than material resources with objectives.
- It gives a sense of direction – it is a long-term ambition, which enables the integration of complex skills to achieve objectives.

- Sense of discovering – it offers a new destination for employees to work towards.
- It gives coherence to strategic plans.

Purpose of Strategic Intent

The logic, uniqueness and discovery that make your strategic intent come to life are vitally important for employees. They have to understand, believe and live according to it.

Strategy should be a **stretch** exercise, not a fit exercise. Expression of strategic intent is to help individuals and organizations share the common intention to survive and continue or extend themselves through time and space.

Vision

What is a vision? A vision gives a sense of direction, enables flexibility to exist in the context of the guiding idea. It is an orientation that guides a manager in specific direction. A vision should be clear. A strategy draws on the vision. It will provide boundaries for the firm's direction. It involves answering the questions:

- What the business is now?
- What it could be in an ideal world?
- What the ideal world would be like?

A vision is meant to stimulate motivation and enthusiasm throughout the company by guiding activities and behavior and providing a sense of common destiny so that we can all pull in the same direction.

Characteristic of good Vision

- It should be feasible - Aim high but not impossible targets
- It should be precise – not be so narrow as to restrict some opportunities.
- It should be Clear – clear enough to lead to action.
- It should be motivating.
- It should be distinctive.
- It should indicate major components of strategy

- It should indicate how objectives are to be accomplished.

Benefits of a vision

- Good vision is inspiring and exhilarating.
- Visions represent a discontinuity, a step function and a jump ahead so that the company knows what it is to be.
- Good vision helps in the creation of a common identity and a shared sense in the market place as they are practical.
- Good vision foster risk taking and experimentation.
- Good vision foster long- term thinking.
- Good vision represent integrity they are truly genuine and can be used for the benefit of people

A Mission Statement

A company mission is the fundamental purpose that sets a firm from other firms of its type and identifies the scope of its operations in products and market terms. A mission is cultural glue. It enables an organization to function as a unity.

It is the statement that expresses the purpose of our organization in line with the expectations of all stakeholders. It sets the scope and the boundaries of the business activities. It defines the business we are in.

Example of mission statement of Dedan Kimathi University: To be a Premier Technology University Excelling in Quality Education, Research and Technology Transfer for National Development.

A mission statement is important because it clarifies for both the internal and the external stakeholders what our business is seeking to achieve.

A company mission is designed to accomplish seven outcomes:

- To ensure unanimity of purpose within the organization.
- To provide a basis for motivating the use of the organization resources.
- To develop a basis, or standard, for allocating organizational resources.
- To establish a general tone or organizational climate; for example, to suggest a business like operations.
- To serve as focal point for those who can identify with the organization's purpose and direction and to deter those who cannot do so from participating further in its activities.
- To facilitate the transformation of objectives and goals into a work structure involving the assignment of tasks to responsible elements within the organization.
- To specify organizational purposes and the translation of these purposes into goals in such a way that cost, time, and performance parameters can be assessed and controlled.

Elements of Mission

a). Purpose

The purpose explains why the company exists? Say the company exists to create wealth for shareholders, to satisfy needs of all stakeholders to reach some higher goals etc.

b). Strategy

The strategy provides the commercial logic for the company. It is how the business hopes to compete and prosper.

c). Policies

Policies convert the mission into everyday performance. This includes simple matters such as politeness to customers, speed at which phone calls are answered etc.

d). Values include the principles of business like commitment to suppliers, staff and customers, the social policy. Values like loyalty and commitment

can inspire employees to sacrifice their own personal interests for the good of the whole. Values also act as a guide for behavior.

A mission helps create a work environment where there is a sense of common purpose.

Newest Trends in Mission Components

- i) Sensitivity to customer wants
 - ✓ “The customer is our top priority!”
 - ✓ Emphasis on extensive product safety programs
- ii) Concern for quality

- ✓ “Quality is job one!”
 - ✓ Emphasis on quality in manufacturing
 - ✓ New philosophy – quality is the norm
- iii) Statements of company vision
- ✓ Developed to express the aspirations of the executive leadership
 - ✓ Presents the firm’s strategic intent
 - ✓ “A computer on every desk, and in every home, running on Microsoft software”

Importance of Mission

- Communicating internally
- Values and feeling are integral element of consumers’ buying decision.
- Suggest that employees are motivated by more than money.

Mission statements are formal statements of an organization, they should be brief for ease of remembrance, flexible to accommodate change, and distinctive to make the firm stand out.

It is difficult for managers to master mission statement because of its philosophical and qualitative nature. Many organizations find their departments and sometimes even their groups pulling in different directions often with disastrous results. This is because the organization has not defined the boundaries of its business and the way it would like to do business.

Differences between Mission and Vision

A mission about here and now but vision refers to the future. Vague mission will fail to motivate, whereas a mission is designed to motivate. A vision that is achieved will cease to motivate.

Core Values

These are the basic principles, beliefs and ethical standards guiding a Company’s or organizations actions and culture. An organization’s values define how to interact with employees, customers and the broader community.

They include customer focus, innovation, diversity, passion, adaptability, accountability, integrity, teamwork etcetera.

Values:

- Shape culture
- Guide behavior

- Foster Alignment
- Enhance reputation
- Define interaction.

Corporate Culture

This is a set of important assumptions and beliefs or norms (usually unspoken) that members of an organization share in common. Every organization has a culture. The assumptions held by individuals once internalized by each individual in the organization, they become the corporate culture. Those shared internalized values, beliefs shape the content of an organization's culture and account for the strength of that culture. Four types of corporate culture include Clan Culture where teamwork and togetherness are emphasized; adhocracy culture where the emphasis is on innovation; market culture where results are prioritized and hierarchical culture where the focus is on structure.

Objectives

These are the results an organization seeks to achieve over a period of time. They could be long-run or short-run. Short term objectives run for a period of one year or less'

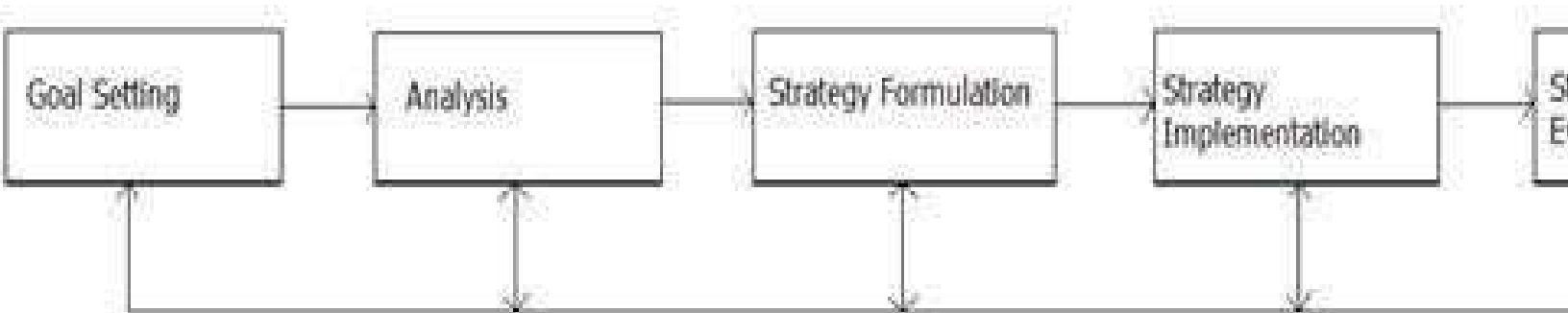
Strategic Management

Strategic Management may be defined as the dynamic process of formulation, implementation, evaluation and control of strategies to realize the organizations strategic intent.

Strategic management is the set of managerial decision and action that determines the long-run performance of a corporation. It includes environmental scanning (both external and internal), strategy formulation (strategic or long range planning), strategy implementation, evaluation and control. The study of strategic management therefore emphasizes the monitoring and evaluating of external opportunities and threats in view of a firm's strengths and weaknesses.

THE STRATEGIC MANAGEMENT PROCESS

Strategic Management Process is defined as the method through which an organization defines its strategy. It is a continuous process in which the business or organization decides to implement a selected few strategies, specifics the implementation plan and keeps on appraising the progress and success of implementation through consistent assessment.



The strategic management process has five stage namely: Goal setting, Analysis, Strategy Formulation, Implementation, Evaluation and control

1.Goal Setting:

The vision and goals of the any organization are clearly specified. The short-term and long-term goals are defined, processes to accomplish the objectives are identified and current staff is evaluated to select capable people to work on the processes.

2. Analysis:

Data relevant to achieve the goals of the organization is collected, potential internal and external factors that can disturb the sustainable growth of the organization are observed and SWOT analysis is also performed.

3.Strategy Formulation:

When the analysis is done, the organization moves to the Strategy Formulation step where the plan to acquire the essential resources is designed, prioritization of the issues facing the business is done and lastly the strategy is formulated accordingly.

4. Strategy Implementation:

Afterwards formulation of the strategy, the employees of the business or organization are clearly made aware of their roles and responsibilities. It is confirmed that funds would be available all the time. Then the implementation initiates.

5. Strategy Evaluation:

In this process, the strategies being implemented are assessed regularly to check whether they are on track and are providing the desired outcomes. In case of deviations, the corrective actions are taken.

The 5 stages are not stand-alone and always interact with each other in order to ensure better management of the organization.

The External Environment

The external environment is classified into three namely the general environment, industry environment and competitor environment.

- **General Environment**

Dimensions in the broader society that influence an industry and the firms within it

- **Industry Environment**

Set of factors that directly influences a firm and its competitive actions and response

- **Competitor Environment**

Focuses on each company against which a firm directly competes

The General Environment is grouped into seven environmental segments:

[1] Demographic

[2] Economic

[3] Political/Legal

[4] Socio cultural

[5] Technological

[6] Global

[7] Physical

DEMOGRAPHIC SEGMENTS

These are commonly analyzed on a global basis because of their potential effects across countries' borders and because many firms compete in global markets.

Demographic Segment

- Population size
- Age structure
- Geographic distribution
- Ethnic mix
- Income distribution
-

THE ECONOMIC SEGMENT

- This segment refers to the nature and direction of the economy in which a firm competes or may compete. Firms generally seek to compete in relatively stable economies with strong growth potential.

Economic Segment

- Inflation rates
- Interest rates
- Trade deficits or surpluses
- Budget deficits or surpluses
- Personal savings rate
- Business savings rates
- Gross domestic product

THE POLITICAL/LEGAL SEGMENT

This segment represents how organizations and governments mutually try to influence each other, and how firms try to understand these influences (current and projected) on their strategic actions.

Political/Legal Segment

- Antitrust laws
- Taxation laws
- Deregulation philosophies
- Labor training laws
- Educational philosophies and policies

THE SOCIOCULTURAL SEGMENT

The socio cultural segment is concerned with a society's attitudes and cultural values. Because attitudes and values form the cornerstone of a society, they often drive demographic, economic, political/legal, and technological conditions and changes.

Socio cultural Segment

- Women in the workforce
- Workforce
- Diversity attitudes about the quality of work life
- Shifts in work and career preferences

- Shifts in product and service preference characteristics
- THE TECHNOLOGICAL SEGMENT

TECHNOLOGICAL

Changes occur through new products, processes, and materials. The technological segment includes the activities involved in creating new knowledge and translating that knowledge into new outputs, products, processes, and materials. Given the rapid pace of technological change and risk of disruption, it is vital for firms to study this segment.

Technological Segment

- Product innovations
- New communication technologies
- Applications of knowledge
- Focus of private and government-supported R&D expenditures

THE GLOBAL SEGMENT

Markets and consumers are more global. This segment includes relevant new global markets, existing markets that are changing, important international political events, and critical cultural and institutional characteristics of global markets.

Global Segment

- Important political events
- Critical global markets
- Newly industrialized

countries Different cultural and institutional attributes

THE PHYSICAL ENVIRONMENT SEGMENT

Concerned with trends oriented to sustaining the world's physical environment, firms recognize that ecological, social, and economic systems interactively influence what happens in this particular segment. This segment refers to potential and actual changes in the physical environment and business practices that are intended to positively respond to and deal with those changes.

Physical Environment Segment

- Energy consumption
- Practices used to develop energy sources
- Renewable energy efforts
- Minimizing a firm's environmental footprint

- Availability of water as a resource
- Producing environmentally friendly products
- Reacting to natural or man-made disasters.

External environments are:

- Turbulent
- Complex
- Global
- Uncertain

Firms engage in external environmental analysis to better understand and cope with their environments.

This analysis comprises four stages:

1. **Scanning:** Scanning: the study of all segments in the general environment; through scanning, firms identify early signals of potential changes in the general environment and detect changes that are already underway
2. **Monitoring:** analysts observe meaningful environmental changes to see if an important trend is emerging from among those spotted through scanning
3. **Forecasting:** feasibility projections developed for what might happen, and how quickly, as a result of the changes and trends detected through scanning and monitoring, both of which focus on events at a point in time
4. **Assessing:** determining the timing and significance of the effects of environmental trends that have been identified; specifying the implications of the understanding gathered in the previous stages

Firms use several sources to analyze the general environment: trade publications, newspapers, business publications, academic research, public polls, trade shows, suppliers, customers and/ or employees.

INDUSTRY ANALYSIS

THE FIVE FORCES OF COMPETITION MODEL BY PORTER

Figure 2.2 The Five Forces of Competition Model



- The five forces model of competition expands the ground for competitive analysis. Traditionally, firms would focus only on direct competitors.
- Today, firms need to evaluate many more industries, as competitors are defined more broadly. For example, the communications industry now encompasses media companies, telecoms, entertainment companies, and smartphone producers.

1. THREAT OF NEW ENTRANTS

- Can threaten the market share of existing competitors.
- May stimulate additional production capacity.

- New competitors may force existing firms to be more efficient and to learn how to compete on new dimensions
- Entry barriers make it difficult for new firms to enter an industry and often place them at a competitive disadvantage even when they are able to enter

Barriers to entry

- Economies of scale
- Product differentiation
- Capital requirements
- Switching costs
- Access to distribution channels
- Cost disadvantages independent of scale
- Government policy

2.BARGAINING POWER OF SUPPLIERS

Supplier power increases when:

- Suppliers are large and few in number
- Suitable substitute products are not available
- Industry firms are not a significant customer for the suppliers
- Suppliers' goods are critical to buyers' marketplace success
- Suppliers' products create high switching costs
- Suppliers have substantial resources and provide a highly differentiated product
- Suppliers pose a credible threat to integrate forward into the buyers' industry

3.BARGAINING POWER OF BUYERS

Buyer power increases when:

- Buyers purchase a large portion of an industry's total output
- Buyers' purchases are a significant portion of a seller's annual revenues
- Switching costs are low (to other industry product)
- The industry's products are undifferentiated or standardized
- Buyers pose a credible threat to integrate backward into the sellers' industry

4.THREAT OF SUBSTITUTE PRODUCTS

Threat of substitute products increases when:

- Buyers face few switching costs
- The substitute product's price is lower

- Substitute product's quality and performance are equal to or greater than the existing product
- Differentiated industry products that are valued by customers reduce this threat

5. INTENSITY OF RIVALRY AMONG COMPETITORS

- Competitors are rarely homogeneous; they differ in resources and capabilities and seek to differentiate themselves from competitors
- Firms seek to differentiate their products in ways that customers value and in which the firms have a competitive advantage
- Common rivalry dimensions:
 - Price
 - Service after the sale
 - Innovation

OTHER TOOLS FOR COMPETITOR AND INDUSTRY ANALYSIS

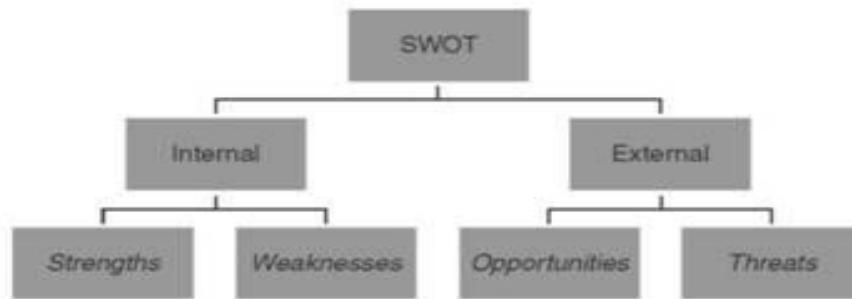
1. PESTEL ANALYSIS TOOL

- a. **Political:** These factors determine the extent to which a government may influence the economy or a certain industry. E.g. tax policies, Fiscal policy, trade tariffs etc. that a government may levy around the fiscal year and it may affect the business environment (economic environment) to a great extent.
- b. **Economic:** These factors are determinants of an economy's performance that directly impacts a company and have resonating long term effects.
E.g. rise in the inflation rate of any economy would affect the way companies' price their products. Economic factors include inflation rate, interest rates, foreign exchange rates, economic growth patterns etc.
- c. **Social:** These factors scrutinize the social environment of the market, and gauge determinants like cultural trends, demographics, population analytics etc. An example for this can be buying trends for Western countries like the US where there is high demand during the Holiday season.
- d. **Technological:** Pertain to innovations in technology that may affect the operations of the industry and the market favorably or unfavorably. E.g. automation, research and development and the amount of technological awareness that a market possesses.
- e. **Environmental:** include all those that influence or are determined by the surrounding environment. This aspect of the PESTEL is crucial for certain industries particularly

e.g. tourism, farming, agriculture etc. Factors of a **business environmental analysis** include but are not limited to climate, weather, geographical location, global changes in climate, environmental offsets etc.

- f. **Legal:** These factors have both external and internal sides. There are certain laws that affect the business environment, and certain policies that companies maintain for themselves. Legal analysis takes into account both of these angles and then charts out the strategies in light of these legislations. E.g. consumer laws, safety standards, labor laws etc.

2. SWOT ANALYSIS



A **SWOT analysis** (alternatively **SWOT matrix**) is a structured planning method used to evaluate the **strengths, weaknesses, opportunities and threats** involved in a project or in a business venture.

A SWOT analysis can be carried out for a **product, place, industry or person**. It involves specifying the objective of the business venture or project and identifying the internal and external factors that are favorable and unfavorable to achieve that objective.

Strength and weakness are internal forces and factors that are to be assessed continuously since more and more competitive organizations with state of the art technology and services are entering into the market and competition is getting intensified day by day.

Opportunities and threats are the external factors and forces in the business environment which are also changing day by day with the change of government policy, industrial policy, monetary policy, political situation at national and international levels, formation of various trade blocks and trade barriers including the changes in legal and social environment in the business world.

Strengths:

Strength is the power and excellence with the resources, skills and advantages in relation to the competitors. A strength is a distinct technical superiority with best technical know-how, financial resources and skill of the people in the organization, goodwill and

image in the market for the product and services, company's access to best distribution network, the discipline, morale, attitude and mannerisms of the employees at all levels with a sense of belonging.
Management Science I Pro

Weakness:

Weakness is the incapability, limitation and deficiency in resources such as technical, financial, manpower, skills, brand image and distribution pattern. It refers to constraints or obstacles, which check movement in a certain direction and may also inhibit an organization in gaining a distinct competitive advantage.

Opportunities:

Environmental opportunity is an alternative area for company's action in which the particular company would enjoy a competitive advantage. An opportunity is a major

favorable advantage to a company. Proper analysis of the environment and identification of new market, new and improved customer group with better product substitutes or supplier's relationship could represent opportunities for the company.

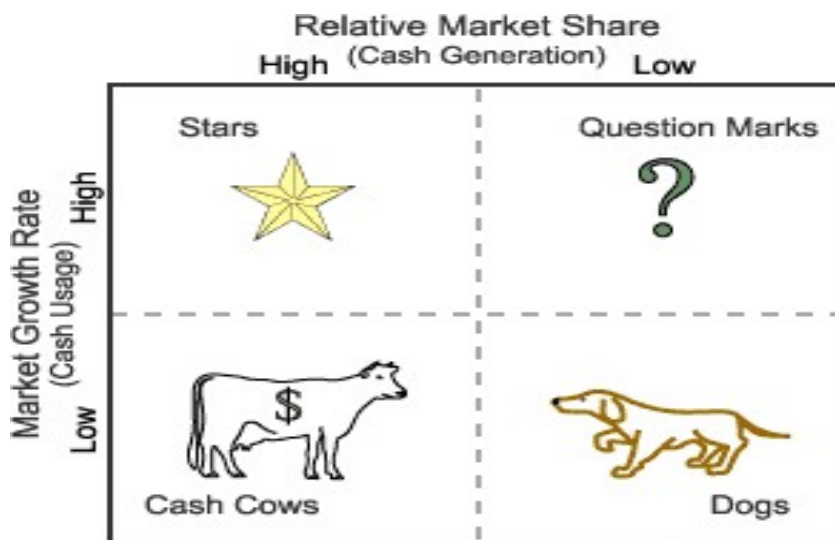
Threats:

Environmental threat is the challenge posed by the unavoidable trend or development that would lead, in the absence of purposeful action to the erosion of the company's position. Slow market growth, entry of resourceful multinational companies, increase bargaining power of the buyers or sellers because of a large number of options, quick rate of obsolescence due to major technological change and adverse situation because of change of government policy rules and regulation is disadvantageous to any company and may pose a serious threat to business operation.

Identification of SWOTs is important because they can inform later steps in planning to achieve the objective.

3. PRODUCT PORTFOLIO ANALYSIS/BCG MATRIX

The **general purpose** of the analysis is to help understand, which brands the firm **should invest in** and which ones **should be divested**.



1. **Stars-** Stars represent business units having large market share in a fast growing industry. They may generate cash but because of fast growing market, stars require huge investments to maintain their lead. Net cash flow is usually modest. SBU's located in this cell are attractive as they are located in a robust industry and these business units are highly competitive in the industry. If successful, a star will become a cash cow when the industry matures.
2. **Cash Cows-** Cash Cows represents business units having a large market share in a mature, slow growing industry. Cash cows require little investment and generate cash that can be utilized for investment in other business units. These SBU's are the corporation's key source of cash, and are specifically the core business. They are the base of an organization. These businesses usually follow stability strategies. When cash cows lose their appeal and move towards deterioration, then a retrenchment policy may be pursued.
3. **Question Marks-** Question marks represent business units having low relative market share and located in a high growth industry. They require huge amount of cash to maintain or gain market share. They require attention to determine if the venture can be viable. Question marks are generally new goods and services which have a good commercial prospective. There is no specific strategy which can be adopted. If the firm thinks it has dominant market share, then it can adopt expansion strategy, else retrenchment strategy can be adopted. Most businesses start as question marks as the company tries to enter a high growth market in which there is already a market-share. If ignored, then question marks may become dogs, while if huge investment is made, then they have potential of becoming stars.
4. **Dogs-** Dogs represent businesses having weak market shares in low-growth markets. They neither generate cash nor require huge amount of cash. Due to low market share, these business units face cost disadvantages. Generally retrenchment strategies are adopted because these firms can gain market share only at the expense of competitor's/rival firms. These business firms have weak market share because of high costs, poor quality, ineffective marketing, etc. Unless a dog has some other strategic aim, it should be liquidated if there is fewer prospects for it to gain market share. Number

of dogs should be avoided and minimized in an organization.

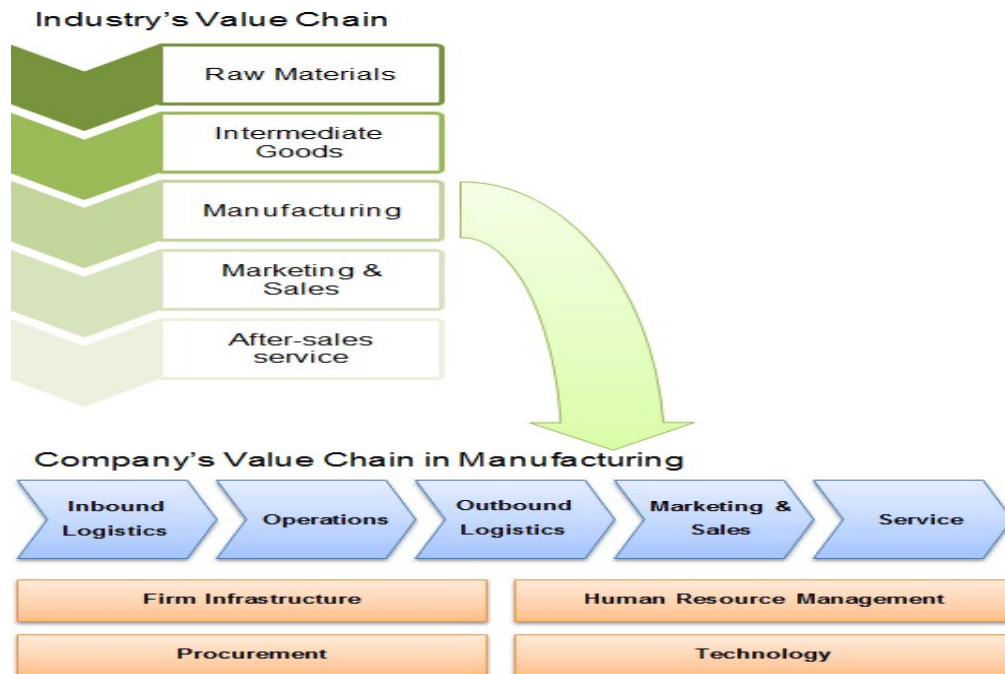
Limitations of BCG Matrix

The BCG Matrix produces a framework for allocating resources among different business units and makes it possible to compare many business units at a glance. But BCG Matrix is not free from limitations, such as-

1. BCG matrix classifies businesses as low and high, but generally businesses can be medium also. Thus, the true nature of business may not be reflected.
2. Market is not clearly defined in this model.
3. High market share does not always leads to high profits. There are high costs also involved with high market share.
4. Growth rate and relative market share are not the only indicators of profitability. This model ignores and overlooks other indicators of profitability.
5. At times, dogs may help other businesses in gaining competitive advantage. They can earn even more than cash cows sometimes.

6. This four-celled approach is considered as to be too simplistic.

4. INDUSTRY VALUE CHAIN ANALYSIS



Primary Activity	Description
<i>Inbound logistics</i>	All those activities concerned with receiving and storing externally sourced materials
<i>Operations</i>	The manufacture of products and services – the way in which resource inputs (e.g. materials) are converted to outputs (e.g. products)
<i>Outbound logistics</i>	All those activities associated with getting finished goods and services to buyers
<i>Marketing and sales</i>	Essentially an information activity – informing buyers and consumers about products and services (benefits, use, price etc.)
<i>Service</i>	All those activities associated with maintaining product performance after the product has been sold

Secondary Activity	Description
<i>Procurement</i>	This concerns how resources are acquired for a business (e.g. sourcing and negotiating with materials suppliers)
<i>Human Resource Management</i>	Those activities concerned with recruiting, developing, motivating and rewarding the workforce of a business
<i>Technology Development</i>	Activities concerned with managing information processing and the development and protection of "knowledge" in a business
<i>Infrastructure</i>	Concerned with a wide range of support systems and functions such as finance, planning, quality control and general senior management

5. MICHAEL PORTER'S GENERIC STRATEGIES MODEL

Competitive Advantage



6. Porter's Generic Strategies Model

Michel Porter in his Porter's Generic Strategies Model, has applied firm's competitive advantages or strengths i.e. cost advantage and product differentiation in either broad or narrow market scope and identified following three generic strategies :-

1. Cost Leadership Strategy,
2. Differentiation Strategy, and

3. Focus Strategy.

These strategies are applied at business unit level. These strategies are called generic strategies because they are not dependent on specific firm or industry.

1. Cost Leadership Strategy

This strategy calls for being a low cost producer in an industry for a given level of quality. This strategy usually targets broad markets. The producer can charge either equal to average industry price to earn a profit higher than that of competitors, or below average industry price to gain market share. In the situation of price war, the firm can earn some profit, but the competitors have to suffer losses. When the industry matures and prices decline, the firm that produces more cheaply will remain profitable for longer time.

The firm can reduce cost of production by improving processes efficiency, getting lower cost materials, vertical integration, optimal outsourcing, efficient distribution channels, expertise in manufacturing and engineering.

2. Differentiation Strategy

This strategy calls for the development of product or service that offers unique attributes and that is perceived by customers different or of greater value than the products or services of the competitors. The unique attributes make the product different from the competitors' products and adds value to it. This added value allows the producer to charge a premium price for its product.

The unique attributes can be brought to the product through scientific research and development, creative and skilled product development team, proper communication of perceived strength of the product, innovated design and features. This strategy also targets broader market.

3. Focus Strategy

The focus strategy targets a narrow market or segment and within that segment attempt to achieve either cost advantage or differentiation. As the entire focus of the firm is on a group or segment, so the needs of the segment can be serviced better, and firm often gain high degree of customer loyalty.

Conclusion

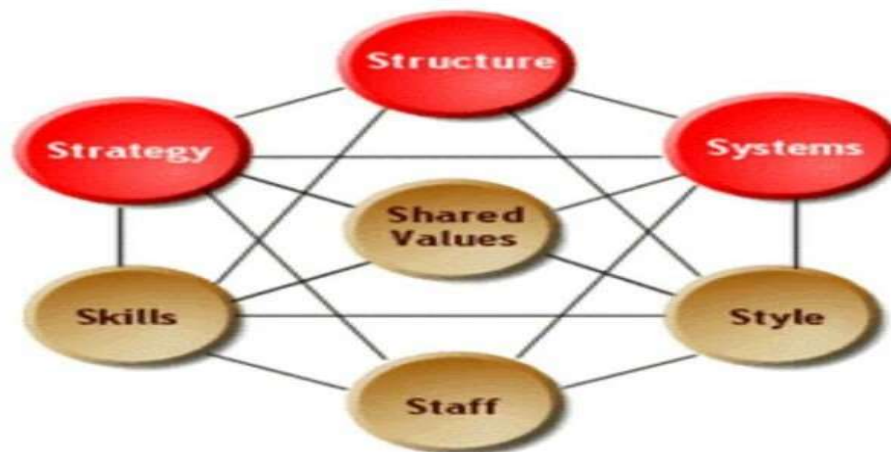
Competitive strategy is a long term action plan that is devised by an organization to gain sustainable competitive advantage over its rivals.

7. McKinsey's 7S Model

This was created by the consulting company McKinsey and company in the early 1980s. Since then it has been widely used by practitioners and academics alike in analyzing hundreds of organizations.

It explains each of the seven components of the model and the links between them. The McKinsey 7S model was named after a consulting company, McKinsey and company, which has conducted applied research in business and industry. All of the authors worked as consultants at McKinsey and company, in the 1980s, they used the model to analyze over 70 large organizations.

The McKinsey 7S Framework was created as a recognizable and easily remembered model in business.



1. **Strategy:** Strategy is the plan of action an organization prepares in response to, or anticipation of changes in its external environment. What is your plan for the future? How do you intend to achieve the objectives? How do you deal with competitive pressure? What are the key strategic priorities such as improved customer service?
2. **Structure:** Refers to the framework in which the activities of the organization's members are coordinated. i.e. focus employees' attention on what needs to get done by defining the work they do and whom they should be working with. How is the organizational structure designed right now? How is the team divided? How do the various departments coordinate activities? How do the team members organize and align themselves?
3. **Systems:** Refers to the day-to-day processes and procedures. Having effective systems helps reduce redundancy and streamlines process. What are the main systems that run the organization? Where are the controls and how are they monitored and evaluated? What internal rules and processes does the team use to keep on track?
4. **Shared Values:** (also known as Super-ordinate goals): Refers to the guiding principles of the organization. These are the core values of the company and your department. What are your core and stated values? What do you measure and reward? Do they share the same company and departmental vision etc?

5. **Style:** Refers to the leadership approach and the organizations overall operating approach. How would you describe your department? How would your employees describe your department? etc
6. **Staff:** Refers to the staff levels and how people are hired, developed, trained, socialized, integrated, and ultimately how their careers are managed. Are you staffed to serve customers adequately? Will the addition or deletion of one or two staff members change anything?

7. **Skills:** Refers to the distinctive competencies of people within the organization. What skills have you been hiring for? What skills do you need? Are there any skills gaps? How are skills monitored and assessed? etc

Hard components are: □ Strategy, □ Structure, Systems

Soft components are: □ Shared values, Style, Staff, Skills

8. BALANCED SCORECARD

What is the balanced scorecard?

- A system of corporate appraisal which looks at financial and non-financial elements from a variety of perspectives.
- An approach to the provision of information to management to assist strategic policy formation and achievement.
- It provides the user with a set of information which addresses all relevant areas of performance in an objective and unbiased fashion.
- A set of measures that gives top managers a fast but comprehensive view of the business.

Why the balanced scorecard...

- Allows managers to look at the business from four important perspectives.
- Provides a balanced picture of overall performance highlighting activities that need to be improved.
- Combines both qualitative and quantitative measures.
- Relates assessment of performance to the choice of strategy.
- Includes measures of efficiency and effectiveness.
- Assists business in clarifying their vision and strategies and provides a means to translate these into action.

In what way is the scorecard a balance?

The scorecard produces a balance between:

- Four key business perspectives: financial, customer,

internal processes and innovation.

- How the organization sees itself and how others see it.
- The short run and the long run
- The situation at a moment in time and change over time

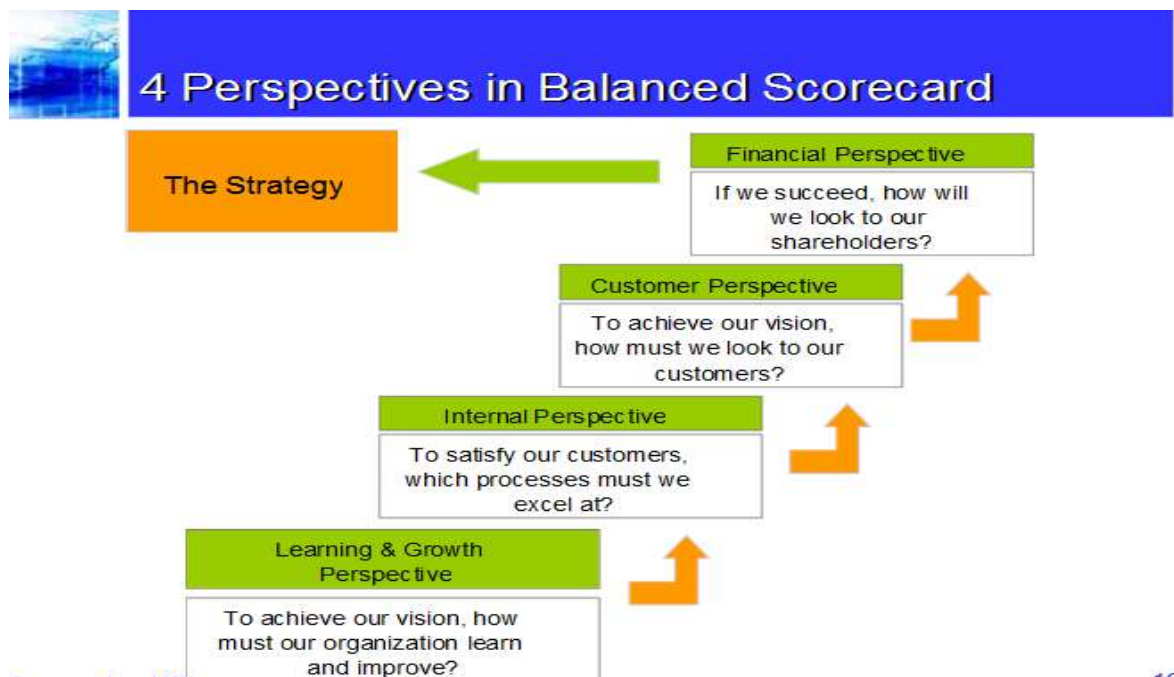
Main benefits of using the balanced scorecard

- Increases the focus on the business strategy and its outcomes.
- Leads to improvised organizational performance through measurements.
- Align the workforce to meet the organization's strategy on a day-to-day basis.
- Targeting the key determinants or drivers of future performance.
- Improves the level of communication in relation to the organization's strategy and vision.

- Helps to prioritize projects according to the timeframe and other priority factors.

The Basics of Balanced Scorecard

Following is the simplest illustration of the concept of balanced scorecard. The four boxes represent the main areas of consideration under balanced scorecard. All four main areas of consideration are bound by the business organization's vision and strategy.



The balanced scorecard is divided into four main areas and a successful organization is one that finds the right balance between these areas.

Each area (perspective) represents a different aspect of the business organization in order to operate at optimal capacity.

- **Financial Perspective** - This consists of costs or measurement involved, in terms of rate of return on capital (ROI) employed and operating income of the organization.
- **Customer Perspective** - Measures the level of

customer satisfaction, customer retention and market share held by the organization.

- **Business Process Perspective** - This consists of measures such as cost and quality related to the business processes.
- **Learning and Growth Perspective** - Consists of measures such as employee satisfaction, employee retention and knowledge management.

The four perspectives are interrelated. Therefore, they do not function independently. In real-world situations, organizations need one or more perspectives combined together to achieve its business objectives. For example, Customer Perspective is

needed to determine the Financial Perspective, which in turn can be used to improve the Learning and Growth Perspective.

Features of a Balanced Scorecard

When it comes to defining and assessing the four perspectives, following factors are used:

- **Objectives** - This reflects the organization's objectives such as profitability or market share.
- **Measures** - Based on the objectives, measures will be put in place to gauge the progress of achieving objectives.
- **Targets** - This could be department based or overall as a company. There will be specific targets that have been set to achieve the measures.
- **Initiatives** - These could be classified as actions that are taken to meet the objectives

THE INDUSTRY LIFE CYCLE

The industry life cycle is not the same as the product life cycle, because within an industry there is a constant updating of products. For example TV manufacturers first produced monochrome TVs, then colour TVs and subsequently home entertainment systems. Within the colour TV segment, the screen technology has evolved from cathode ray displays to flat screens such as plasma screens. Recently the first 3D TVs and Internet enabled TV sets appeared on the market.

Industries evolve over time, both structurally and in terms of overall size. The industry life cycle is measured in total industry sales and the growth in total industry sales. The industry structure and competitive forces that shape the environment in which businesses operate change throughout the life cycle. Therefore, a business's strategy must adapt accordingly.

It is useful to consider the evolution of the industry life cycle in the context of Porter's 5 Forces.

1. Introduction

In the introduction stage there are few competitors and there is no threat from substitutes because the industry is so new.

The power of buyers is low, because those who require the product are prepared to pay to get hold of supplies that are limited. Suppliers exert some power, because volumes purchased are still low and the industry is relatively unimportant for suppliers.

2. Growth

In the growth stage the number of competitors increases rapidly as other firms enter the growing industry. However, because at this stage growth in demand outstrips growth of capacity, rivalry among firms is kept in check.

The power of buyers is still very low because demand exceeds supply. Often industry growth is associated with high profitability. While at this stage firms may be profitable,

they could still be cash absorbing and running risks as they jockey for position and market share.

3. Maturity

As the industry enters maturity, the power of buyers is increasing because capacity matches or exceeds demand. In contrast, the power of suppliers has declined because by now the volumes purchased by the industry are very important to suppliers. Losing a large customer could be very damaging to suppliers. The threat from substitutes is now growing. The industry will start to consolidate, possibly through mergers and acquisitions. Mature industries are settled in, risks are low and cash is generated. However, rivalry among competitors is fierce and falling prices pose a serious threat to profitability.

4. Decline

The decline stage poses new challenges. Capacity exceeds supply thereby increasing the power of buyers.

The weakest competitors will withdraw from the industry, leading to a decline in the rivalry between firms. At this stage firms may also combine forces to ask for government intervention or subsidies to help to protect the declining industry. The threat of substitutes is high; indeed, substitutes are often the root cause of decline.

However, managed correctly, a slowly declining industry can produce attractive returns for investors because there is no new investment as the industry is gradually run down and milked for cash.